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Gold has a new problem

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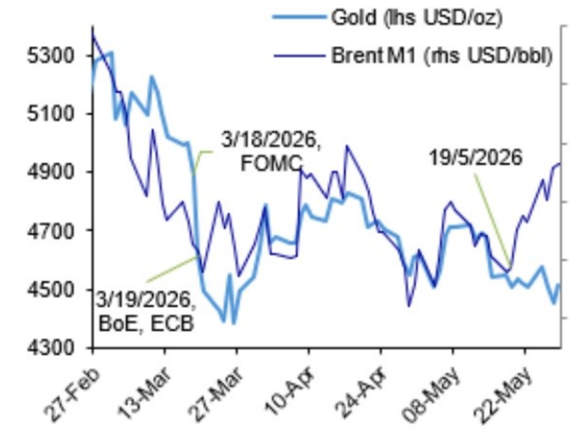
- Gold prices have diverged from oil trends due to concerns of persistent inflation driven by a more varied set of causes, and rising real interest rates. The occurrence of bond market weakness has been a global phenomenon with key events in Japan and the UK. Watchpoints going forward will include global inflation data and upcoming Federal Reserve meetings.
- We think it would be a mistake to link gold too tightly with an extrapolation of further real rates repricing (48 bps so far this year). In 2022, we experienced a much sharper real-rate repricing of 270 bps which was effectively neutralized by a 716 tonne swing in official gold demand (H2'22 vs H2'21).
- All indications are that incoming Fed Chair Warsh may attempt to steer the center of FOMC opinion from the "somewhat hawkish" characterization seen in mid-May (Link). While the effectiveness of this remains to be seen, it could meaningfully change the pace of ETF gold investment without necessarily changing our team's view of a Fed on an "indefinite hold near neutral."
- Central bank and bar & coin demand were both stronger than expected in Q1, but ETF demand is down by 78% versus last year's quarterly run-rate. We see upside risk to ETF demand in the balance of the year, and note that overall demand weakness in 2023 was still associated with an increase in gold prices. One bearish risk is the upside to recycled gold supply as capacity bottlenecks ease.

Inflation and bond markets constrain gold

Gold has diverged from its negative oil correlation in the last 10 days as Brent front month dropped below USD 100/bbl (Figure 1). This has sustained a short term downtrend from the USD 4,700/oz level around mid May, and reflected in -1.6 mm troy oz selling visible in ETFs (-0.4 mm troy oz) and futures (-1.2 mm troy oz).

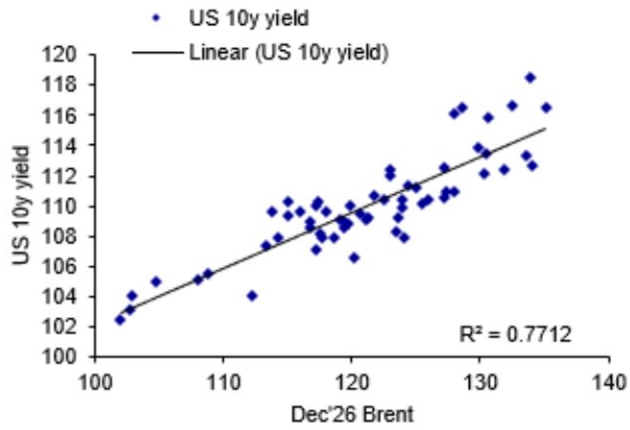
The most relevant macro frame for gold continues to be the risk of higher inflation, a hawkish monetary policy reaction, and the attendant rise in real interest rates. Put simply, gold's new problem lies in the combination of more persistent inflation and responsible monetary policy-making. That suggests that a breakdown in either one could tilt the macro picture for gold, suggesting gold sensitivity to policy communications and inflation data going forward.

Figure 1: Gold diverging from oil



Source: Bloomberg Finance LP, Deutsche Bank Research

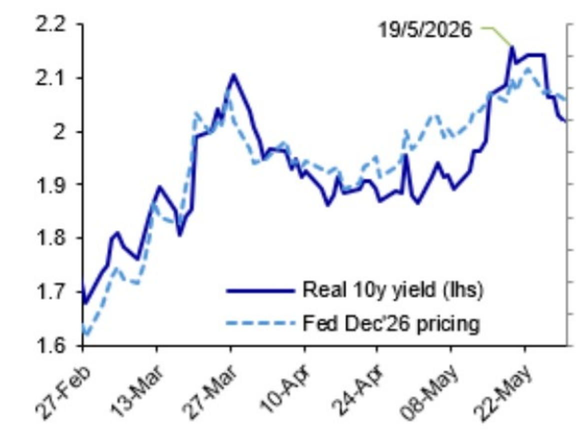
Figure 2: 10y US Treasury nominal yield more closely related to Dec'26 Brent than front month (where coefficient of determination is 0.51)



Source: Bloomberg Finance LP, Deutsche Bank Research

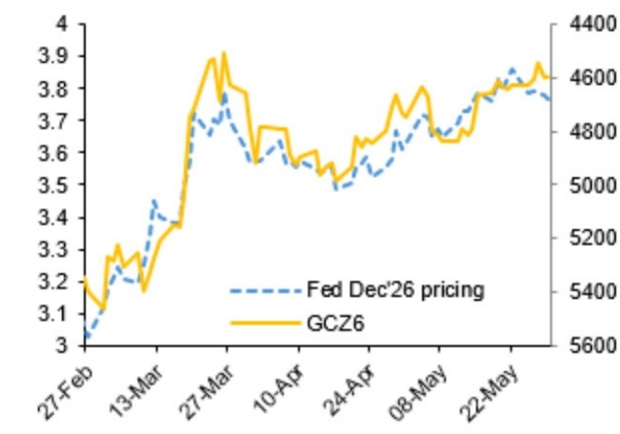
Two simple charts illustrate this. First, US 10y nominal and real rates have been more closely related to deferred crude futures (e.g., Dec'26) than front month (Figure 2), with the deferred crude futures R^2 being 77% and the front month R^2 being 51%. That suggests the market is more attuned to the possibility of a longer period of higher energy prices than the short term picture. Second, 10y real yields have been linked to hawkish Fed re-pricing (Figure 3), which provides the transmission channel into financial fair value for gold that takes the 10y real yield as an input (Link).

Figure 3: 10y real rates have followed Dec Fed pricing



Source: Bloomberg Finance LP, Deutsche Bank Research

Figure 4: Gold Dec'26 and Fed Dec'26



Source: Bloomberg Finance LP, Deutsche Bank Research

Bond market sell-off is a global phenomenon

The sell-off in bond markets since the upside break of 4.5% on 10y UST was important enough to rank as a point of discussion at the meeting of G-7 finance ministers in Paris (18-19 May). According to Japan's finance minister Katayama, there has been a compounding effect amongst the three major markets of the US, UK and Japan[1] which facilitated weekly moves of 21 bps, 24 bps and 23 bps respectively in that week. This reflects the fact that these are global bond market moves, not exclusively borne of any one country's idiosyncrasies.

From the Japanese side, bond market concerns centered on the need for a supplementary budget, including government subsidies for energy, following "repeated denials that an extra budget was necessary".[2] Significant moderating influences came from a strong 20yr JGB auction (19-May), Prime Minister Takaichi's indication that with the extra budget, Japan does not "necessarily need to issue a large amount of government bonds," (20-May)[3] and the announcement from the CEO that Japan Post Bank would continue to rebuild its JGB holdings, depending on "the relative appeal of other assets."[4]

From the UK side, recent difficulty for the Gilt market dates from the early May local elections seeing Labour party losses, the possibility of a leadership challenge for Prime Minister Starmer, and that a new leader may introduce fiscal easing and higher debt issuance.[5] This narrative was extended by data showing April's UK government deficit was larger than expected.[6]

From the US side, our Rates strategists express concern that "a string of shocks have left real rates too low to return inflation to 2%" (Link), while staying short 10y UST and seeing upside to their yield forecast (Link). They remain short UST 10y with upside risk to their 4.65% target, and would not be surprised by a 10y term premium of 135 bps, implying risk of 10y UST at 5% (Link).

Our US Econ team observes that for the Fed, the "balance of risks appears to have shifted toward inflation persistence" (Link). Upside inflation drivers are wider than oil prices alone, including measures of trend inflation, an elevated output gap, AI demand in some goods categories, PPI pipeline inflation, and shorter-run inflation expectations (Link). Our team's relative CPI forecasts indicate greater upside for the US short-end (Link), implying that the lack of market pricing for Fed hikes may be at risk of turning higher rather than lower.

1 "Japan's Katayama Denies Need for Extra Budget as Yields Rise", Bloomberg Finance LP, 14 May 2026, {https://blinks.bloomberg.com/news/stories/TF20AAKK3NYA}
2 "Japan's Sanae Takaichi calls for extra budget as Iran energy crisis bites", Financial Times, 18 May 2026, {https://www.ft.com/content/865ef75d-9499-4822-a9aa-1ab4199253c0}
3 "Japan's Takaichi Aims to Avoid Large Bond Sales for Extra Budget", Bloomberg Finance LP, 20 May 2026, { https://blinks.bloomberg.com/news/stories/TFBPTZKK3NYB}
4 "Japan Post Bank May Eventually Double JGB Holdings, CEO Says", Bloomberg Finance LP, 28 May 2026, {https://blinks.bloomberg.com/news/stories/TFQEXUT96OSG}.
5 "Gilts Slide as Calls Grow for UK Prime Minister to Step Down", Bloomberg Finance LP, 11 May 2026, { https://blinks.bloomberg.com/news/stories/TEU2XGKK3NY8}
6 "UK Posts Highest April Budget Deficit Since the Pandemic", Bloomberg Finance LP, 22 May 2026, { https://blinks.bloomberg.com/news/stories/TFFCZRT9NJLV}

What to watch for: Potential Warsh positives

The near-term difficulty for gold may be that as the US-Iran war draws to a close and the Strait of Hormuz gradually sees an increasing rate of commercial traffic, sources of inflation that outlive the conflict may keep real rates elevated. However, we think it would be a mistake to link gold too tightly with an extrapolation of further real rates repricing (48 bps so far this year). In 2022, we experienced a much sharper real-rate repricing of 270 bps which was effectively neutralized by a 716 tonne swing in official gold demand (H2'22 vs H2'21).

If the above macro framing is correct, then important watchpoints going forward will include global inflation data with emphasis on the US, and the first Fed meeting chaired by Kevin Warsh (17-18 June). If Warsh is able to visibly steer the center of Committee opinion from the "somewhat hawkish" characterization in mid-May (Link), then this could prove gold-positive. This could move rates pricing without necessarily any change in our team's view of a Fed on "indefinite hold near neutral" (Link). That could in turn meaningfully change the pace of ETF gold investment which has flagged from 2025 (see below).

Last November, Warsh indicated in his WSJ op-ed that the Fed should discard its forecast of stagflation, that AI will be a significant disinflationary force owing to its positive impact on productivity, and that a reduced Fed balance sheet can be accompanied by lower policy rates.[7] To some extent the Fed's forecast of stagflation has already changed, with the Fed's SEP on growth higher by 40-60 bps over the 2026-27 timeframe, although it is also higher on PCE by 10 bps (Mar'26 vs Sep'25 SEP).

Conditional on a US-Iran peace deal, our US Econ team believes Warsh will reinforce the inclination to "look-through" near-term core inflation pressures (Link). That would defy both market pricing (58% chance of Fed hike by Dec), evidence that AI is inflationary in some categories (Link), and evidence that layoffs are not associated with AI adoption rates and US firms are not using AI as a substitute for employment but rather to "supplement or enhance" employees (Link).

An inclination to look through near term inflation would contrast with the Fed officials dissenting from the easing bias in the April statement, St Louis Fed President Musalem who cautioned that Fed policy is below neutral, and that the US is unlikely to be in a high productivity growth period.[8] It would also contrast with ECB April minutes indicating that "it had become increasingly unlikely that a 'looking through' approach without any monetary policy action would be appropriate."[9]

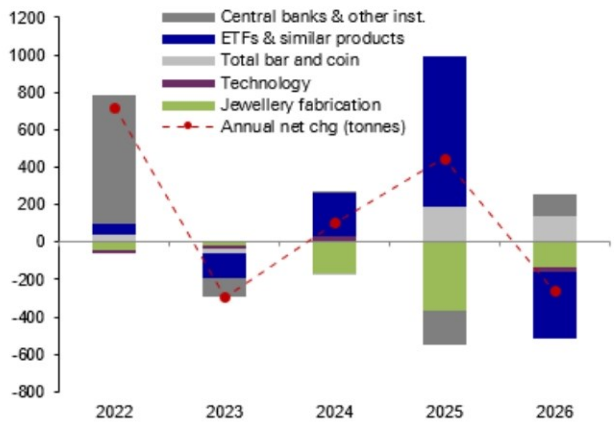
[7] "The Federal Reserve's Broken Leadership", Wall Street Journal, 17 Nov 2025, {https://www.wsj.com/opinion/the-federal-reserves-broken-leadership-43629c87}.
[8] "Musalem Says the Fed Can't Rely on AI to Lower Inflation", Bloomberg Finance LP, 28 May 2026, {https://blinks.bloomberg.com/news/stories/TFRCGWT96OSG}.
[9] "Some ECB Officials Were Open to a Rate Rise in April", Bloomberg Finance LP, 28 May 2026, {https://blinks.bloomberg.com/news/stories/TFQYWTPV4WE9}

Gold demand shaping up to be weaker year on year

From a gold supply-demand perspective, central bank demand surpassed our estimates in Q1 based on China other investment demand (Link). We also note that Q1 bar & coin demand is +38% above last year's run-rate. This supports an important piece of the narrative where we see inelastic demand stealing supply away from elastic sources of demand (Link). However, the contraction in ETF demand year on year is the most significant change in this dynamic. Despite offsetting strength in central bank and bar & coin demand in the first quarter, we would still likely need to see some resumption of ETF demand (62 tonnes in Q1) in order to realise our full year assumption around 450 tonnes (Figure 5). This does not necessarily equate to lower year-on-year gold prices, however, as the similarly weak year of 2023 still saw gold prices rise modestly.

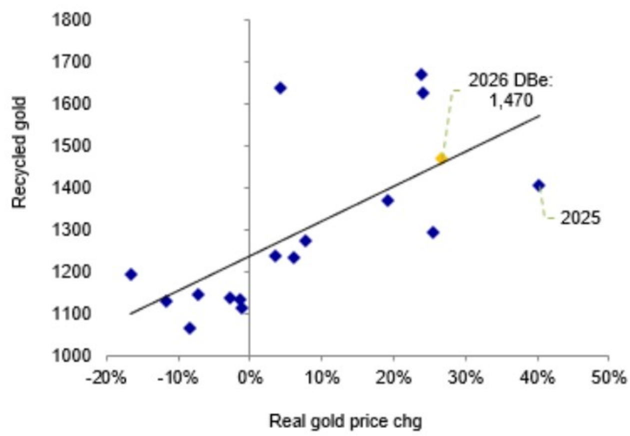
Among supply developments, we think the pace of recycled gold is likely to be the most important swing factor, since it can respond more quickly than mined production. The factors weighing on recycled supply in recent years have been extrapolative price expectations, and a relative lack of household financial stress as compared to the peak 4 consecutive years of gold recycling following the global financial crisis in 2009-2012. Modestly higher recycling volume in Q1 could accelerate over the balance of the year as bottlenecks in refining and recycling capacity ease over time, according to the World Gold Council, while distress selling may be driven by weaker domestic currencies in some markets. That would suggest upside risk to our recycled gold supply assumption of 1,470 tonnes versus 366 tonnes estimated in the first quarter (Figure 6).

Figure 5: Gold demand weaker in key categories



Source: World Gold Council, Deutsche Bank Research

Figure 6: Recycled gold in Q1 of 366 tonnes supports full year assumption



Source: World Gold Council, Deutsche Bank Research

Appendix 1

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